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Bloomberg Automated Summary

Alphabet Inc Earnings Call View on the Bloomberg Terminal

10/28/26

Guidance

- Management expects a slightly larger FX headwind to consolidated revenues in Q4, primarily impacting search and YouTube ads.
- Google Services revenue growth will be pressured in Q4 due to lapping the search performance acceleration that began in Q3 last year.
- TPU system sales are expected to continue scaling in Q4, with a meaningful revenue ramp anticipated in 2027.
- Cloud margins are expected to face near-term headwinds in Q4 as the company ramps up usage of third-party compute capacity.
- The full-year 2026 CapEx guidance remains unchanged at $195 billion to $205 billion, with a significant increase expected in 2027.

Margin Story

- Alphabet's operating margin was 31.8% in Q3 2026, with operating income increasing 30% to $40.6 billion.
- Google Services operating income increased 17% to $39.2 billion, resulting in an operating margin of 40.7%.
- Google Cloud's operating income more than tripled year-over-year to $11.1 billion, with its operating margin increasing from 23.7% in Q3 last year to 36.2%.
- The third-party bridging capacity for Google Cloud had a limited negative impact on Q3 margins as it came online only at the very end of the quarter, but management expects near-term margin headwinds in Q4 as usage of this capacity ramps up.
- Management is focused on continuing to improve margins for TPU systems as they scale the business, citing price-performance benefits and growing demand for accelerated compute.

AI Strategy

- Alphabet's Q3 2026 was strong, with its full-stack AI approach driving momentum across the business, including a 25% year-over-year revenue growth and a 103% increase in Google Cloud revenues, largely due to AI infrastructure and solutions.
- AI investments are significantly increasing search usage, resulting in the highest year-over-year query growth rate in five years, with first-party model APIs processing nearly 32 billion tokens per minute, a 40% increase from last quarter.
- The Gemini 4 series, including Argon and the newly announced Carbon, are leading frontier models, with Argon's developer platform usage ramping 3.5 times faster than Gemini 3 and Carbon outperforming Argon across various domains.
- AI is integrated into search, with AI overviews and AI mode leading to longer, personalized, and multimodal queries, and AI models are accelerating ads development, improving ad quality (19% satisfaction increase) and enabling new advertiser tools like AI Max, which generated over $1.5 billion in campaign assets in Q3.

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- Agentic capabilities are becoming real, with the Gemini 4 model series enabling complex tasks, and the company plans to bring these next-generation agentic experiences to consumers via the Gemini app later this year, viewing them as additive and offering new monetization opportunities while prioritizing safety and trust.

Subscriptions

- Alphabet's subscriptions, platforms, and devices revenues increased 11% to $14.3 billion in Q3, driven by strong growth in YouTube subscriptions and AI plans in Google One.
- YouTube Music and Premium subscribers globally, including trials, surpassed 150 million, with YouTube Premium alone having over 150 million subscribers.
- The Gemini app has reached 1 billion users, making it the fastest-growing product in Google's history.
- Subscriptions continue to grow faster than advertising, led by YouTube Music Premium, and are crucial for funding the creator ecosystem and platform development.
- Google One is Alphabet's fastest-growing subscription product, primarily due to demand for its AI plans.

Streaming

- YouTube continues to lead as the number one streaming platform in the US by watch time.
- YouTube Music and Premium subscribers globally have surpassed 150 million, including trials.
- Subscriptions, particularly YouTube Music and Premium, are growing faster than ads and are a significant driver of revenue growth.
- Living Room viewing accounted for over one-third of total YouTube ads revenues in Q3.
- New generative AI tools in YouTube Studio, a conversational editing assistant in Shorts and YouTube Create, and Short Series for structured content are enhancing creator capabilities and viewer experience.

Strategic Partnerships

- Strategic partnerships include an expanded agreement with American Express to modernize contact centers and collaborate on agentic commerce across search and wallet.
- Unity signed an expanded multi-year cloud deal to utilize the full AI stack for their next-generation game engine.
- Amazon is joining YouTube Shopping, enabling US creators to directly tag Amazon products in their videos, shorts, and live streams for direct conversions.
- The company has partnered with Meta to deliver Torch TPU, allowing users to train, serve, and deploy PyTorch models on TPUs.
- New partnerships have been formed with Crux AI and Oracle to deliver TPU systems, with additional collaborations anticipated due to strong demand.
- The company collaborates with various entities, including Anthropic (directly and via Broadcom), Apple, Mirendil, Physical Intelligence, Citadel Securities, Jump Trading, Caltech, Cassava, and Cerescale, for scaling foundation models and using TPU systems.

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- The philosophy behind these partnerships, even with competitors, is to treat TPU systems as a platform, ensuring it is world-class by subjecting it to market forces and demanding workloads, which expands opportunities.

Competition

- Alphabet views its TPU systems as a platform, working with competitors like Apple to ensure the platform is world-class and tested against market forces.
- This platform approach expands opportunities and has historically been successful for the company.
- TPU systems offer price performance benefits relative to competitors, contributing to growing demand for accelerated compute.

Market Share

- Google Cloud is seen by customers as the leading provider of AI infrastructure and solutions, driving huge demand.
- YouTube continues to lead in the living room as the number one streaming platform in the US in terms of watch time.
- The company's leadership in trust and security is an important differentiator for agentic experiences.
- TPU systems are being put against market forces and competing for people with the most demanding workloads to ensure the teams remain at the frontier.

Cloud Strategy

- Google Cloud revenues grew 103% year-over-year to $30.7 billion in Q3 2026, with operating income tripling to $11.1 billion and an operating margin of 36.2%.
- Growth was primarily driven by Google Cloud Platform (GCP), with strength in AI infrastructure, AI solutions, core GCP, and TPU system sales.
- Google Cloud now features 18 product lines, each generating over $1 billion in annual revenue, and nearly 90% of Fortune 100 companies utilize Gemini Enterprise.
- The cloud backlog reached $561 billion in Q3, with over 55% expected to be recognized as revenue within the next 24 months.
- Management anticipates continued scaling of TPU system sales in Q4 2026 and a significant revenue ramp in 2027, expecting near-term margin headwinds from increased third-party compute capacity usage.

Capital Allocation

- Alphabet's Board of Directors declared a quarterly cash dividend of $0.22 per share on common stock, payable in December.
- Capital expenditure (CapEx) for Q3 was $51.4 billion, predominantly allocated to technical infrastructure to support AI investments.
- Approximately 65% of Q3 technical infrastructure investment was for servers and networking equipment (six-year useful life), with the remaining 35% for data centers (seven to 40-year useful life).

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- The full-year 2026 CapEx guidance remains unchanged at $195 billion to $205 billion, with a significant increase expected in 2027.

M&A

- M&A activity was not specifically addressed in the Q3 2026 earnings call.

Labor

- R&D expenses increased due to compensation, primarily for investment in AI talent, and sales and marketing expenses were also up due to investments in Gemini and compensation.

Macro Environment

- Alphabet expects a slightly larger FX headwind to consolidated revenues in Q4, primarily impacting search and YouTube ads.
- In Q3, FX was a slight headwind for Google Services' year-over-year growth and a more significant sequential impact.
- Retail in APAC was affected by the EU eliminating its de minimis exemption, impacting search growth.
- AI investments are driving increased usage and overall query growth in Search, including commercial queries.
- The Gemini app has reached 1 billion users, making it Google's fastest-growing product in history.
- YouTube Music and Premium subscribers globally surpassed 150 million, including trials.
- Queries in AI mode are longer, personalized, and multimodal, with one in five using voice, images, or documents.
- Visual searches have now crossed over 50 billion per month.
- The Universal Commerce Protocol (UCP) is rapidly adopted by retailers, enabling direct checkout for hundreds of thousands of brands.
- Universal Cart was launched to support how people shop across Google, helping retailers and preventing abandoned carts.

Supply Chain

- Efforts are underway to bring more capacity online to meet the long-term demand for AI infrastructure and solutions.
- Operating cash flow was negatively impacted by the build-up of inventory for TPU system sales and a $5.2 billion cash payment for an EC fine.
- CapEx reached $51.4 billion in Q3, primarily for technical infrastructure supporting AI investments, leading to negative free cash flow of $9.1 billion.
- Multi-year agreements have been secured for technical infrastructure, inventory capacity, leases, and energy, with future purchase commitments totaling $924 billion and pre-commencement obligations of $152 billion.
- Third-party compute capacity, which came online late in Q3, will ramp in Q4, causing near-term margin headwinds due to the supply-constrained environment.

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Pricing

- The company is combining the Universal Commerce Protocol (UCP) with the agent payments protocol to build for the future of commerce, and launched Universal Cart to help shoppers, allowing retailers to maintain customer relationships and capture sales.
- Agentic workflows are being architected to allow users to explore choices beyond just price, such as brand loyalty and customer service, and are expected to provide interesting advertising models, potentially expanding beyond subscriptions and other payment methods.
- TPU systems offer price performance benefits compared to competitors, and the company is focused on improving margins as it scales this business, with inventory built only after committed contracts are signed.
- The ability to scale TPUs for both internal data centers and external sales translates into better economics, and the company expects to generate an attractive return on invested capital (ROIC) that remains meaningfully above its cost of capital.
- AI models are helping to optimize for speed and cost, with BigQuery improving query speed by over 40% year-over-year and reducing processing cost by over 50% year-over-year, and Telstra seeing a 36% reduction in cost per order using AI Max.

Product Development

- Alphabet had a strong Q3 2026, with its full-stack approach driving momentum and numerous opportunities across the business.
- The company launched Gemini 4 Argon two weeks prior, with its usage on developer platforms ramping up 3.5 times faster than Gemini 3, despite capacity constraints.
- Gemini 4 Carbon, described as the strongest frontier model with state-of-the-art cybersecurity and long-horizon capabilities, was announced and is being rolled out to trusted cyber defenders.
- Genie 4, an advanced world model simulating safe, realistic, interactive worlds with native audio in real time, was announced as an important building block for training robots and agents.
- YouTube introduced custom feeds and Short Series for viewers and creators, along with new generative AI tools in YouTube Studio, including a conversational editing assistant in Shorts and YouTube Create.

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